

Specific anti-avoidance provisions [¶33-144]

[¶33-144]

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Subpart [GB](#) contains a number of specific anti-avoidance provisions which complement specific tax regimes contained elsewhere in the Act. A brief summary of each of the specific anti-avoidance provisions follows.

Dividend stripping

Section [GB 1](#) applies when certain share disposals are part of a dividend stripping arrangement ([¶33-175](#)). *Newton v FC of T* (1958) 11 ATD 442; [1958] AC 450 (PC) is an example of a dividend stripping transaction.

Transfer pricing

Section [GB 2](#) extends the transfer pricing rule in s [GC 6](#) ([¶33-146](#)) to a collateral arrangement such as a market sharing arrangement, an arrangement not to enter into a particular market, a back-to-back supply arrangement or an income-sharing arrangement ([¶26-605](#)).

Loss carry-forward and carry-back

Sections [GB 3](#) and [GB 3B](#) prevent the manipulation of rights attaching to shares in order to meet the terms of the net loss carry-forward or carry-back rules ([¶18-035](#)).

Sections [GB 3BA](#), [GB 3BAB](#) and [GB 3BAC](#) prevent the business continuity test for carrying forward tax losses from being used for loss trading. For examples of where the sections would apply, see [IS 25/14](#), “Income tax – arrangements involving tax losses carried forward under the business continuity rules”, at [110], [112], [113] and reconstruction at [137].

Group loss offset

Rules permitting grouping of company tax losses do not apply when shares in a company:

- # have been subject to an arrangement (which may or may not alter the rights attached to the shares), and
- # the arrangement allows the company to satisfy the loss offset requirements in subparts [IC](#) and [IP](#) or s [I 28](#) for group companies, and
- # a purpose of the arrangement is to defeat the intent and application of those subparts.

The same restriction applies when the arrangement applies to shares in a company other than the company that would otherwise be enabled to claim a group loss offset.

Section [GB 4](#) prevents arrangements for the grouping of company tax losses. It uses the phrase “to defeat the intent and application of those provisions”. This form of wording was also found in s [76](#) of the Goods and Services Tax Act 1985 before the recasting of that provision. Consequently, the interpretation of that phrase by the Supreme Court in *Glenharrow Holdings Ltd v C of IR* ([2009](#)) [24 NZTC 23,236 \(SC\)](#) will have some impact on the interpretation of s [GB 4](#). Indeed, the use of the phrase “defeat the intent and application” appears in numerous provisions in subpart [GB](#) and hence *Glenharrow* will have an impact in the interpretation of each of the provisions in which the phrase appears.

Trust beneficiaries

Section [GB 5](#) prevents arrangements using trusts to defeat the loss continuity provisions.

Where there is a change in the beneficiaries of a trust under an arrangement which has a purpose or effect of defeating the intent and application of any of the continuity provisions, the trustee is treated as having disposed of the share or option to an unrelated third party and having immediately reacquired it (s [GB 5](#) and [¶16-190](#)).

Qualifying companies

Section [GB 6](#) is directed at arrangements involving qualifying companies.

Status as a qualifying company is denied if shares in the company, or another company, have been subject to an arrangement which has the purpose of defeating the intention and application of the qualifying company regime (s [GB 6](#)).

International tax regime

Section [GB 7](#) is directed at arrangements over the control of interests in foreign companies. If, as a result of an arrangement between 2 or more New Zealand residents, the control interests in a foreign company are held by another person or persons so as to prevent the foreign company from being a controlled foreign company (CFC), the interests are deemed to be held by the residents in equal shares.

Sections [GB 9](#) to [GB 14](#) contain provisions aimed at nullifying attempts by taxpayers to manipulate their control interests and income interests in CFCs by successive variations to those interests before and after a quarterly measurement day.

Sections [GB 15](#) and [GB 16](#) permit the Commissioner to disregard certain measurement elections in relation to CFC and foreign investment fund (FIF) interests if they involve an arrangement that defeats the intent and application of the international tax rules.

Section [GB 15BA](#) allows the Commissioner to treat an election to include or not to include a particular CFC in a test group as reversed if the person has entered into an arrangement to reduce the amount of net attributable CFC income or increase the amount of net attributable CFC losses.

Sections [GB 15B](#) and [GB 15C](#) apply to arrangements that may affect the application of the active business exemption as outlined at [¶126-062](#).

Section [GB 15B](#) provides that the income from a supply is included in the item gross adjustments when a CFC makes a supply to a person who would not meet the requirements of the default test for a non-attributing active CFC and the purpose behind the supply was to manipulate the formula by increasing the denominator. In other words, it applies when a CFC makes a supply with the purpose of increasing the tax measure of its total income in s [EX 21D](#). Increasing total income lowers the ratio of attributable income to total income. This rule makes it clear that supplies made for this purpose are to be ignored. This rule is aimed at CFCs who repeatedly sell goods back and forth between each other or where a sale is put through an intermediary with the purpose of increasing the intermediate CFC's total income. The purpose of inflating the total incomes must be the main purpose of the arrangement.

If a person enters an arrangement with a purpose, that is more than incidental, of enabling a CFC to meet the requirements of s [EX 21E](#) (active business exemption based on accounting measures of income) when the CFC would not actually meet the requirements, s [GB 15C](#) will apply.

The use of accounting measures is allowed because it reduces the compliance costs for taxpayers. However, accounting measures of income will inevitably differ from tax measures. Therefore, there is a risk of exploitation in order to benefit from the active business exemption if no effort has been made to align the accounting and tax measures of income by way of adjustments (eg s [EX 21E](#)).

If s [GB 15C](#) applies, the CFC does not qualify for the active business exemption and its income or loss must be attributed. In addition, if the arrangement involves a financial arrangement between a CFC and an associated CFC, it is possible that the associated CFC may also be treated as not qualifying for the active business exemption. This occurs if the arrangement involves a financial arrangement which produces

a foreign exchange loss for the first CFC, and it results in a decrease in the numerator of the formula (effectively reducing its accounting measure of attributable income).

Section [GB 51](#) provides that an arrangement that has the purpose or effect of defeating the intention of the proportionality rule in the thin capitalisation rules can be disregarded.

Section [GB 51B](#) disregards increases or decreases in a value that affect a calculation under the thin capitalisation rules caused by an action or omission, or produced by an arrangement, with the purpose or effect of defeating the intent and application of those rules.

Films

Sections [GB 17](#)–[GB 19](#) contain provisions governing the timing of the deduction for deferred fees and other costs of acquiring and producing a film where their payment is deferred beyond the period in which they would normally have been payable, and giving the Commissioner certain powers to counteract arrangements which seek to artificially inflate the cost of producing a film or of acquiring rights in a film ([¶10-446](#)).

Petroleum and mineral mining

Section [GB 20](#) allows the Commissioner to adjust the taxable income of any person affected by an arrangement consisting of a disposal of any petroleum mining asset, the incurring of exploration expenditure or a farm-out arrangement which has the effect of, or which has been entered into for the purpose of, tax avoidance so as to counteract any tax advantage obtained by the person. What Parliament would expect to see in the arrangement is in fact present. It follows that the non-application of the substituting debenture rule would be within Parliament's purpose for that rule in this instance (s [GB 20](#) and [¶28-110](#) and [¶28-125](#)).

Financial arrangements

Section [GB 21](#) permits the Commissioner, if he is satisfied that a financial arrangement has been issued or transferred so as to defeat the application of the financial arrangements rules, to substitute an arm's-length consideration for the consideration used by the parties ([¶6-560](#)).

Beneficiary income

Section [GB 22](#) applies to any arrangement that operates to defeat the intent and application of ss [HC 17](#)–[HC 23](#) (relating to income of beneficiaries) by transferring property or providing services or benefits via the trustee to a person other than a beneficiary of the trust. The property, services or benefits are treated as being received by the beneficiary. This requirement in s [GB 22](#) does not apply to a Maori authority.

Excessive remuneration

Section [GB 23](#) provides the Commissioner with broad powers to treat excessive salary or wages or share of profits as income in the hands of the recipient and to treat certain payments as a dividend for tax purposes ([¶16-590](#), [¶23-142](#) and [¶23-144](#)).

No deduction is permitted for a payment for something other than services made by a taxpayer to their spouse, civil union partner or de facto partner unless the Commissioner consents to that deduction before the deduction is claimed (ss [DB 57](#), [DC 5](#) and [¶10-900](#)).

When a close company pays or credits any sum as remuneration for services rendered by a shareholder, a director or one of their relatives, the Commissioner is authorised to limit the deduction available to a reasonable level of remuneration (s [GB 25](#) and [¶16-070](#)).

For a look-through company (LTC), the effective look-through interests and consequently the income and deductions allocated to an owner who is a minor (ie less than 20 years of age) may be adjusted by

the Commissioner, having regard to the services rendered by the minor to the company (s [GB 25B](#) and [¶19-210](#)).

In QWBA [QB 14/09](#): “Income Tax — Meaning of ‘Excessive Remuneration’ and ‘Excessive Profits or Losses’ Paid or Allocated to Relatives, Partners, Shareholders or Directors”, IR responds to the question ‘when is a payment of remuneration or allocation of profits or losses considered to be excessive for the purposes of ss [GB 23](#) to [GB 25B](#) ([¶16-070](#), [¶19-210](#) and [¶23-142](#))’.

Commercial bills

Section [GB 26](#) is aimed at preventing non-residents from avoiding non-resident withholding tax or approved issuer levy on a redemption payment by disposing of a commercial bill to a resident immediately before its maturity. Section [GB 26](#) does this by including the redemption payment in the resident person's income if the sale or transfer from non-resident to resident “has the purpose of avoiding non-resident withholding tax (NRWT) or the approved issuer levy”.

Attribution rules

Sections [GB 27](#)–[GB 29](#) contain rules for the attribution of personal services income when a working person has inserted an entity between themselves and the recipient of those services ([¶133-325](#)).

Restrictive covenants

Section [GB 30](#) allows the Commissioner to counteract the effect of arrangements which have an effect of avoiding the application of the restrictive covenant rule in s [CE 9](#) ([¶15-297](#)).

Fringe benefits

Section [GB 31](#) also counteracts the effect of any arrangement that has a purpose or effect of defeating the intent and application of the FBT rules ([¶121-060](#)).

Section [GB 31\(4\)](#) and [Sch 5 cl 4](#) operate to fix the tax value of a motor vehicle for FBT purposes at market value. This treatment applies when there is an arrangement between an employer and an associated person to defeat the intent and application of the FBT provisions, and the vehicle was owned by the employer or an associate in the 2 years before it was provided to the employee ([¶121-265](#)).

Section [GB 32](#) concerns arrangements directed at the fringe benefit rules involving associates of employees. In the case of a benefit provided to an associate of an employee, the benefit is deemed to be received by the employee and not the associate. There are limited exceptions for a benefit granted to a shareholder–employee, provided no arrangement exists between the parties to substitute employment income or avoid FBT. There is also an exception for a benefit provided by an LTC, partnership or limited partnership where the associate of the employee is an owner of the relevant LTC or a partner of the relevant partnership ([¶121-080](#)).

Section [GA 2](#) allows the Commissioner to adjust any fringe benefit which a person obtains as a result of an arrangement that is void under s [BG 1](#) ([¶121-130](#)).

Depreciation

Section [GB 33](#) allows the Commissioner to disallow any deduction for depreciation where it is considered there was an arrangement to enable additional depreciation to be claimed when it was not intended that it be available.

Imputation

Under s [GB 34](#) a company is treated as not meeting the continuity requirements that apply for imputation credit account (ICA) purposes where any shares in that company or in any other company:

- # have been subject to an arrangement or series of related or connected arrangements, or
- # had any rights attaching to them extinguished or altered in any way

where the purpose, or one of the purposes, was to enable the company to meet the requirements ([¶17-055](#)).

Sections [GB 35](#) and [GB 36](#) operate to counteract the effect of credit-streaming arrangements in relation to imputation credits ([¶17-120](#)).

“Stapled stock” arrangements

Section [GB 37](#) counters the effect of “stapled stock” arrangements (in very general terms, where a company that cannot operate an ICA and pass credits to shareholders or does not have available imputation credits, arranges for shareholders to receive imputed dividends from another company), ([¶17-115](#)).

Consolidated groups and imputation

Section [GB 38](#) details how the specific anti-avoidance provisions in ss [GB 35–GB 37](#) apply in the case of consolidated groups.

M#ori authority credit accounts

Sections [GB 42](#) and [GB 43](#) operate to counteract the effect of credit-streaming arrangements in relation to M#ori authority credits ([¶24-317](#)).

Tax credits for families

Section [GB 44](#) is directed towards arrangements made with a view to increasing a person's entitlement to working for families tax credits under Pt [M](#). The Taxation Review Authority's decision in Case Y1 ([2007](#)) [23 NZTC 13,001](#) is an example of the application of the section.

Arrangements which have the purpose or effect of defeating the intent and application of FamilyBoost tax credits will result in a reduction of the credit (s [GB 44B](#)).

Limited recourse loans

Sections [GB 45–GB 48](#) apply to certain arrangements involving limited recourse loans, providing for a deferral of deductions arising from those arrangements ([¶33-285](#) and [¶10-061](#)).

Returning share transfers

Section [GB 49](#) allows the Commissioner to counteract the effect of arrangements which have an effect of avoiding a requirement of the definition of a returning share transfer ([¶17-116](#)).

Employee share schemes

Section [GB 49B](#) allows the Commissioner to counteract any tax advantage gained from an arrangement that attempts to circumvent the intent and application of the share scheme taxing date by seeking to have shares taxed either earlier or later than is consistent with that intent.

Partners and partnerships, owners of LTCs

Section [GB 50](#) provides for situations where partners or owners of LTCs enter arrangements involving consideration that is not at market value ([¶19-215](#) and [¶23-070](#)).

Land-rich companies and trusts

Sections [GB 52](#) and [GB 53](#) deem disposals of residential land to have occurred when companies and trusts are used to defeat the intent and application of the bright-line test ([¶7-050](#)).

Interest arrangements related to land

Note: From 1 April 2025 the anti-avoidance rules which relate to the interest limitation rules are repealed as the interest limitation rules will no longer apply. For discussion of the relevant anti-avoidance rules for the interest limitation rules, see CCH, *New Zealand Master Tax Guide* 2025, [¶33-144](#).

Permanent establishments

Section [GB 54](#) deems a permanent establishment to exist in New Zealand for a non-resident if a number of criteria are met. The non-resident is deemed to make any relevant supplies through that permanent establishment ([¶26-300](#)).

Charitable gifts

Section [GB 55](#) provides for the Commissioner to reduce a tax credit for charitable or other public benefit gifts when an arrangement has a purpose or effect of defeating the intent and application of s [LD 1](#) ([¶11-055](#)).

Research and development tax credits

Section [GB 56](#) provides for the Commissioner to reduce a research and development tax credit when an arrangement has a purpose or effect of defeating the intent and application of subpart [LY](#) ([¶11-150](#)).

Law: IT07 subpart [GB](#)

Last reviewed on 31 December 2025

Anti-avoidance provisions — Non-market transactions

[¶33-146]

[¶33-146]

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Subpart [GC](#) contains provisions dealing with non-market transactions. A summary of the provisions follows.

Trading stock

Under s [GC 1](#), where trading stock is disposed of without consideration, or for an amount that is less than its market value at the date of sale, the trading stock is treated as having been sold for market value ([¶9-087](#)).

This section does not apply to certain identified disposals (including to shares transferred back to a share supplier under a share-lending arrangement ([¶17-116](#))). From 1 April 2024, if a person disposes of, or donates, trading stock to an approved donee organisation at less than market value, the person can treat the disposal at its discounted value or as having zero value.

Disposal of timber or timber rights

Section [GC 2](#) requires certain disposals of timber or timber rights to be treated as disposals of trading stock for the purposes of s [GC 1](#) (disposals at below market value).

Life insurers

Section [GC 3](#) requires certain property of a life insurer to be treated as trading stock for the purposes of s [GC 1](#) (disposal below market value).

Disposal of emissions units

Section [GC 3B](#) requires certain disposals of emissions units to be treated as disposals of trading stock for the purposes of s [GC 1](#) (disposals at below market value) ([¶9-063](#)).

Disposal of FIF interests

Under s [GC 4](#), a person who disposes of an attributing interest in a FIF is treated as doing so at market value when:

- # the consideration received is less than market value, and
- # FIF income or loss has been calculated under the comparative value, deemed rate of return, cost or fair dividend rate methods.

These 4 methods of calculating FIF income or loss also apply to a person acquiring an attributing interest in a FIF at other than market value.

Leases for inadequate rent

Section [GC 5](#) notionally increases the amount of rent received by a property owner from a relative or a related company where the rent is less than the market rate ([¶10-830](#)).

Transfer pricing

Sections [GC 6](#)–[GC 19](#) set out the transfer pricing regime, which is directed at multinational companies that shift profits from New Zealand to countries with low tax costs ([¶26-605](#)–[¶26-610](#)).

Law: IT07 subpart [GC](#)

Last reviewed on 31 December 2025

Tax avoidance — Diverting income [¶33-170]

[¶33-170]

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The most common method of “tax planning” is to divert income from a taxpayer who bears tax at high rates to one who is taxed at low rates. Diversion of income may be achieved in one of 2 ways — either by the transfer of income-producing assets ([¶33-180](#)) or by the alienation of income itself or the transfer of the right to future income. Because the diversion or alienation of income is often one of the simplest and most effective forms of tax planning, it has been the subject of more decided cases in New Zealand than any other single tax-planning device. The general trend in judicial outcomes is in favour of the Commissioner, which indicates that any tax planning should be advised with caution. See *Penny and Hooper v C of IR* ([\(2010\) 24 NZTC 24,396 \(SC\)](#)).

Attribution rules prescribing the derivation of income from a taxpayer’s personal services are contained in s [GB 27](#) ([¶33-325](#) and [¶33-345](#)).

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Tax avoidance — Dividend stripping [¶33-175]

[¶33-175]

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Section [GB 1](#) makes provision for a specific form of tax avoidance arrangement. Essentially, the subsection applies where a taxpayer disposes of shares in return for money or other consideration and that consideration would have been dividend income had the taxpayer's avoidance arrangement not been entered into. The subsection does not, of itself, void any arrangement.

The subsection does not apply to a transaction in which no consideration passes for the transfer of shares, even where the purpose is to avoid tax on dividends. However, a dividend transaction of that description might fall within the general anti-avoidance provisions where it forms part of a larger tax avoidance arrangement.

The elements which must be present before s [GB 1](#) applies are:

- # a sale or disposal of company shares for consideration under a tax avoidance arrangement, and
- # some or all of the consideration derived from the transaction is in substitution for a dividend in an income year.

The existence of a purpose of avoiding tax on dividends is not required before the section can apply.

If the purchasers of the shares subsequently declare a dividend from the same account in respect of which the Commissioner has deemed dividends relating to all or part of the consideration to have been derived (eg the profit and loss appropriation account), those dividends may nonetheless be income derived by the purchasers. Although the deemed dividends and the actual dividends are declared from the same source, the latter are still dividends within ss [CD 4](#) and [CD 5](#). Even if this were not so, s [GB 1](#) has no counterpart to s [GA 1\(6\)](#), which provides that amounts deemed by the Commissioner to be income under an adjustment under s [GA 1\(2\)](#) are deemed not to be income of any other person. See Case P34 ([1992](#)) [14 NZTC 4,247](#).

Note that the decision in Case P34 discusses the concepts of "tax avoidance" and "tax mitigation". The Privy Council has since declared the distinction between these 2 concepts to be "unhelpful". See *O'Neil v C of IR* ([2001](#)) [20 NZTC 17,051](#) at 17,057.

Sections [BG 1](#) and [GA 1](#) have no application to the purchaser of shares under a dividend-stripping arrangement, always assuming the purchaser obtains no tax advantage from the arrangement. The specific anti-avoidance provisions in ss [GB 35–GB 37](#) relating to the dividend imputation regime should also be borne in mind ([¶17-120](#) and [¶17-115](#)).

Revenue Alert

In Revenue Alert, [RA 18/01](#), "Dividend stripping — some share sales where proceeds are at a high risk of being treated as a dividend for income tax purposes" the Commissioner's view is that where a person or persons sell shares in a company (the target) to another company (the acquirer) in which they have a significant ownership interest, s [BG 1](#) or [GB 1](#) can apply in a range of circumstances. For example, a sale can be subject to s [BG 1](#) where the target has no retained earnings at the time of sale and where the purchase price is simply left owing to the vendors. A tax avoidance arrangement may also arise where a holding company structure is used to facilitate the exit of a shareholder or the merger of 2 companies. The Revenue Alert also states the Commissioner would have tax avoidance concerns where an arrangement inappropriately creates available subscribed capital for a company in situations where a shareholder in reality has not provided anything for the issue of shares by the company.

The Revenue Alert contains a number of examples that highlight the Commissioner's concerns and a series of questions and answers were also released with the Revenue Alert.

In February 2020, the Commissioner released a questions and answers sheet to accompany the Revenue Alert that provides answers to some questions frequently asked by taxpayers in this area, such as whether

the Commissioner will consider transactions are part of a tax avoidance arrangement if there are commercial reasons for the restructure, whether the Commissioner will be concerned with a restructure done more than 5 years ago, and whether a dividend can be spread ([RA 18/01a](#)).

Law: IT07 ss [CD 11](#), [GB 1](#)

Last reviewed on 31 December 2025

Tax avoidance — Transfer of assets [¶33-180]

[¶33-180]

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The transfer of income-producing assets is the most common form of diverting income. The sale of assets between taxpayers, without more, cannot be characterised as tax avoidance. For example, a business carried on by the taxpayer may be sold, investments such as shares or real property may be sold or given to the low rate taxpayer or an investment property deriving, eg rental income, may be transferred to the low rate taxpayer.

In one particular context the Act encourages the transfer of assets. This is when the taxpayer is an individual who is in a position to make an agreement transferring relationship property to a spouse, civil union partner or de facto partner. In broad terms, subpart [FB](#) provides that no tax liability arises upon transfer (although a liability does arise should the transferee subsequently dispose of the asset). The implication is that an asset, or an interest in an asset, may be transferred to a lower rate taxpayer without suffering a tax liability upon transfer. There are certain exemptions from gift duty for transfers of relationship property.

Can the property be assigned?

For property to be assigned, it must be capable of assignment. When the property assigned is a right or interest and not tangible property, it must first be determined that there is a property right capable of effective assignment. See, for example, the assignment of income in a partnership context at [¶23-160](#).

Continued use by taxpayer

When the asset in question is leased back by the settlor or is otherwise made available for their use or benefit after the sale, there is a possibility that the general avoidance provisions will apply. This is particularly so if funding for the acquisition is also provided by the vendor/settlor. Consequently, if an asset such as a car used by the taxpayer in their business is sold to a trust and leased back by them, with the purchase price remaining outstanding as a debt owing to the taxpayer, the Commissioner may well invoke the anti-avoidance provisions.

Related tax consequences

Consideration must be given to other tax consequences of a transfer besides shifting the principal income flow. Such consequences might include the treatment of debtors, the accounting treatment by vendor and purchaser, the deductibility of repairs effected immediately after transfer by the new purchaser, the claw-back of depreciation claims by the vendor and the treatment of trading stock when this is involved in the sale of a business.

Practical problems

Also to be considered are the practical problems arising upon transfer. For example, some assets by their very nature may be incapable of transfer. They may be, by the instrument creating them, expressed to be personal to the high rate taxpayer or they may be subject to licence or control which prohibits alienation.

Last reviewed on 31 December 2025

Tax avoidance — Purchase price allocation rules [¶33-200]

[¶33-200]

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The purchase price allocation rules have been introduced to apply for agreements for the disposal and acquisition of property entered into on or after 1 July 2021. The purchase price allocation rules tighten the rules that govern how parties to a sale of two or more assets with different tax treatments (a mixed supply) allocate the total price between the assets for income tax purposes. They do not affect existing law relating to the determination of the price when the purchaser assumes any vendor liabilities. The rules are designed to improve the integrity of the income tax rules by requiring consistency between the parties' allocations. The objective of the provisions is to prevent an overall revenue loss when vendors and purchasers adopt different price allocations that minimise their own tax liabilities.

The rules are contained in ss [GC 20](#) and [GC 21](#) and are summarised below:

Purchase price allocations are to be made when a person disposes of items of property ("purchased property") to another person that fall into 2 or more of the following classes:

trading stock, other than timber or a right to take timber

timber or a right to take timber

depreciable property, other than buildings

buildings that are depreciable property

financial arrangements

purchased property for which the disposal does not give rise to assessable income for the vendor or deductions for the purchaser.

If the parties agree an allocation for the classes of purchased property and record it in a document before the first of their tax returns including the transaction is filed, they must both follow that allocation in their tax returns.

If the parties do not agree an allocation and record it in a document before the first of their tax returns is filed, the vendor may determine the allocation if they use different income tax treatments for two or more of the classes of purchased property. The vendor must notify both the purchaser and the Commissioner of the allocation within 3 months of the change in ownership of the purchased property. The amount allocated to each class of property must be the greater of the relative market value and the tax book value of the class. The tax book value minimum protects the purchaser from an unreasonably low allocation to taxable/deductible property by the vendor. However, the vendor will not be able to comply with the tax book floor where the aggregate tax book value of all the classes of taxable property plus the relative market value of the class of non-taxable property exceeds the total purchase price. This could be the case in a distressed sale where the vendor is making a genuine loss. In this case, the excess will first reduce any amount allocated to non-taxable property (eg goodwill or non-taxable land). If there is still excess, the tax book values of the taxable property must be reduced proportionately until they collectively equal the purchase price.

If the vendor does not make an allocation within the 3-month timeframe, the purchaser is entitled to determine the allocation and notify both the vendor and the Commissioner of it within 6 months of the change of ownership of the property (ie within a further 3 months). The allocated amounts must reflect the relative market value of the relevant class of property proportional to the other classes of property. There are no other constraints on the purchaser's allocation.

The purchaser is not entitled to any deductions in relation to the purchased property until the first income year for which they file a return of income on a timely basis after the earlier of the purchaser's notification of their allocation to the Commissioner and the Commissioner's notification of his allocation to the purchaser. This rule is designed to incentivise the purchaser to notify the vendor and the Commissioner of an allocation when they have the right to allocate. Any deductions that are deferred will be able to be claimed in the return that is filed on a timely basis after an allocation is notified to or by the Commissioner.

The Commissioner may impose his own allocation if no allocation is made on a timely basis or if he considers the parties' allocation is not based on relative market values. However, the Commissioner

cannot impose his own allocation on an item of depreciable property if its original cost for the vendor was less than \$10,000, the total amount allocated for the item and any identical property is less than \$1 million, and the amount allocated for the item is no less than its tax book value and no greater than its original cost.

The unilateral allocation rules (ie allocation by the vendor, the purchaser or the Commissioner) will not apply if the total consideration for the purchased property is less than \$1 million, or the only purchased property is residential land (together with its chattels) and the total consideration is less than \$7.5 million.

A unilateral vendor, purchaser or Commissioner allocation is binding on the parties, with no right for a party to contest the allocation by filing a notice of proposed adjustment or to take any other proceedings to challenge the allocation.

Any existing provision of the Act that expressly requires the use of market value for purchased property is overridden by the purchase price allocation rules to the extent to which the amount allocated to that property is determined under the purchase price allocation rules. This prevents parties from attempting to use 2 different market values for an item or class of property and also allows the tax book value floor on a unilateral vendor allocation to operate correctly.

From 1 April 2024, where the parties to a disposal are associated at the time of disposal, any trading stock, timber or a right to take timber is deemed to be disposed of for market value.

Standard sales and purchase agreement - Purchase price allocation

The purchase price allocation rules grounded in s [GC 20](#) and s [GC 21](#) have given rise to changes to the standard sale and purchase agreement form. The 11th edition of the REINZ Sale and Purchase Agreement contains an addendum specifically for the purchase price allocation. The front page of the agreement signals that the purchase price allocation rules may apply to a transaction, and the updated form also contains a warranty. Best practice is for parties to agree on the allocation prior to signing the agreement. However, this may not be possible.

The purchase price allocation rules are mostly triggered on residential sales over \$7.5 million and non-residential sales over \$1 million.

The addendum provides various definitions, including “agreed allocation” and “tax asset classes”. The addendum provides for the parties to agree and record an allocation of the purchase price by the settlement date, or at least within 60 working days after the settlement date. Until this is done, under the standard addendum wording, no party may file a tax return relating to the transaction. The vendor is to propose an allocation within 5 working days after the date of the agreement, with a “reasonable endeavours” obligation on the parties to try to agree. If the parties cannot agree, then there is provision for an expert to determine the allocation is contained in the addendum.

Question We've Been Asked QB 25/22

QWBA QB 25/22, "Do the purchase price allocation rules alter the tax book values of Farmland Improvements and listed horticultural plants under subpart DO?" confirms that for the sale of farmland including farmland improvements and listed horticultural plants, the purchase price allocation rules under ss [GC 20](#) and [GC 21](#) do not alter the purchaser's opening tax book values for the improvements and plants as specified under subpart [DO](#).

Law: IT07 ss [GC 20](#), [GC 21](#)

Last reviewed on 31 December 2025

Tax avoidance — Transfer of right to income [¶33-240]

[¶33-240]

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Except for income arising from a person's personal exertion as an employee or self-employed person, a taxpayer may assign a right to income so that it is no longer subject to income tax, without assigning the property which produces the income. See *Arcus v C of IR* [1963] NZLR 324; *Hadlee and Sydney Bridge Nominees Ltd v C of IR* (1991) 13 NZTC 8,116 (CA). It is important that the taxpayer assign the right to the income, and not the income itself, so that they no longer derive the income at all. If the taxpayer assigns the right after they have derived the income, the subsequent transfer is merely an application of income already derived and so it remains assessable in their hands. For a transfer of the right to income to be effective, it is necessary for the assignor to relinquish all control over the income. If any power remains to defeat the effect of the assignment, it cannot be said that they have assigned the income so that it no longer forms part of the transferor's assessable income. In this context it is the power to defeat the assignment which is important and not whether the power has been exercised.

Last reviewed on 31 December 2025

Tax avoidance — Meaning of right to income [¶33-250]

[¶33-250]

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It is necessary to draw a distinction between the assignment of an existing right to income and the assignment of an expectancy or possibility of becoming entitled to income in the future. A currently existing right to income is an existing chose in action which is capable of assignment: *Hadlee and Sydney Bridge Nominees Ltd v C of IR* (1991) 13 NZTC 8,116 (CA). This right may be assigned legally or equitably, whether or not for consideration. A mere expectancy or a possibility of becoming entitled to income is, on the other hand, incapable of assignment without consideration and in some cases not even then.

Last reviewed on 31 December 2025

Tax avoidance — Recipient of diverted income [¶33-270]

[¶33-270]

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The essence of diverting income for tax purposes is to have it diverted to a non-taxpayer or a taxpayer whose rate of tax is lower than that of the person who would otherwise derive the income. However, the transferee must also be the person associated with the taxpayer or a person to whom the benefit of the income would in any event have passed, such as a dependant. The choice of the recipient of income may well call for as much skill and judgment on the part of the tax planner as the method of achieving the income diversion itself.

Among considerations which must be taken into account, apart from comparative tax costs, are the possibility of legislative changes, asset planning implications, the degree of sophistication of the taxpayer, the taxpayer's appreciation of the legal implications and general understanding of the nature of the vehicles that might be employed, and the benefit to the taxpayer personally of having the income diverted to the new recipient.

Last reviewed on 31 December 2025

Tax avoidance — Mass-marketed tax schemes [¶33-285]

[¶33-285]

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In 2002 the government became concerned at the proliferation of mass-marketed tax-driven schemes which allowed investors to obtain tax benefits far in excess of the amounts invested. These schemes were typically based on films, forestry and intellectual property transactions involving contingent loans used to acquire assets which were difficult to value. The participants in the schemes received tax benefits regardless of the success of the schemes.

Sections [GB 45–GB 48](#) of the IT07 were enacted to counter this activity. These provisions generally apply from the start of the 2004–05 income year, although certain transactions entered into before that year are also affected.

Broadly, taxpayers and their associates who are parties to, or affected by, certain arrangements involving limited recourse loans must defer the deductions which arise from those arrangements. This “deferred deduction” rule is activated when the total cost of property held by the taxpayer under the arrangement satisfies within prescribed criteria.

For a more detailed discussion, refer to [¶10-061](#).

Law: IT07 ss [GB 45–GB 48](#)

Last reviewed on 31 December 2025